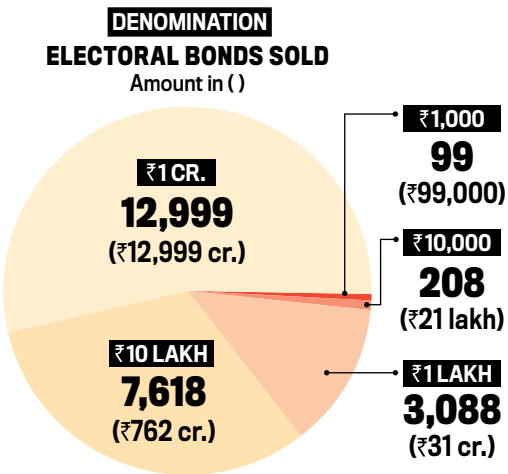
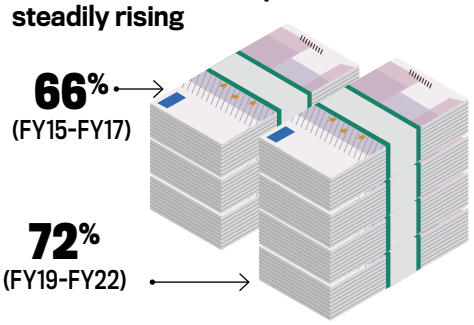
THE CORPORATE INSTRUMENT

An examination of the sale of 27 tranches of electoral bonds between March 2018 and July 2023 reveals that these have been used mostly by corporates and not by individuals. After this, two more tranches of bonds worth Rs 2,727 crore were sold



ANONYMOUS DONORS

The share of income from unknown sources for national parties has been steadily rising



81% of the total unknown income of national parties between FY19 and FY22 came from electoral bonds

58% of the total income of national parties between FY19 and FY22 was on account of electoral bonds

Source: Supreme Court of India

2022-23, for instance, trusts donated Rs 366 crore to all parties, while bonds earned them Rs 2,665 crore.

Between 2018 and 2024, electoral bonds worth Rs 16,518 crore were sold. In the 10 years between 2013 and 2023, electoral trusts disbursed approximately Rs 2,558 crore to various political parties. Even if one assumes that all donors are corporates—90 per cent of the electoral bonds were of the highest denomination of Rs 1 crore—the entire 10-year corpus from bonds and trusts put together represents just 35 per cent (Rs 19,076 crore) of what was spent in just the 2019 Lok Sabha polls. And if political parties are to be believed, bonds are their biggest source of income. National parties said 55 per cent of their total income in 2021-22 came from bonds, while regional parties said the share was 70 per cent.

THE BLACK MONEY FLOOD

Yet, the declared election expenses of parties and candidates suggest the continued flow of unaccounted-for funds or black money into elections. An analysis by the Association for Democratic Reforms (ADR) found that every winning contestant in the 2019 Lok Sabha polls spent on an average Rs 58 lakh—Rs 12 lakh less than the then expenditure cap of Rs 70 lakh set by the ECI. If the losing candidates also spent the same amount, the total expenditure of all 8,048 candidates in the fray would amount to Rs 4,667 crore. Add the Rs 2,591 crore of expenditure the 32 national and regional parties did declare in the 2019 polls, and the money spent adds up to over Rs 7,000 crore. However, the CMS calculation had pegged campaign expenses by parties and candidates at Rs 47,000 crore (of the total Rs 55,000 crore estimated by the CMS, expenditure by the ECI accounted for 15 per cent or Rs 8,000 crore). So, where did the remaining Rs 40,000 crore come from? There is still no mechanism to trace the source of this money and, without it, the Indian electoral outcome cannot be thought to be free of the influence of corruption and black money.

The roots of the proliferation of unaccounted-for money in elections perhaps lie in the very structure of political funding in India, which allows parties to rig their books however they want. When political parties declare an income, a majority of it is shown as donation from unknown sources, be it 'sale of coupons', 'relief fund', 'miscellaneous income', 'voluntary contributions' or 'contribution from meetings'. The details of such voluntary contributors are not made available in the public domain. In fact, most political parties showed a majority of their collected funds as cash receipts of under Rs 20,000—a